16. INCOME TAXES

Income Statement Components

Income (loss) before income tax expense (benefit) was as follows (in millions):

	Year Ended December 31,		
	2020	2019	2018
U.S. operations	$ (2,072)	$ 2,496	$ 3,168
International operations	62	990	1,064
Income (loss) before income tax expense (benefit)	$ (2,010)	$ 3,486	$ 4,232

Statutory income tax rates applicable to the countries in which we operate during each of the years ended December 31, 2020, 2019, and 2018 were as follows:

U.S.	21 %
Canada	15 %
U.K.	19 %
Ireland	13 %
Peru	30 %
Mexico	30 %

The following is a reconciliation of income tax expense (benefit) computed by applying statutory income tax rates to actual income tax expense (benefit) (in millions):

	U.S.		International		Total	
	Amount	Percent	Amount	Percent	Amount	Percent
Year ended December 31, 2020						
Income tax benefit at statutory rates	$ (435)	21.0 %	$ (10)	(16.1)%	$ (445)	22.1 %
U.S. state and Canadian provincial tax expense (benefit), net of federal income tax effect	(33)	1.6 %	27	43.5 %	(6)	0.3 %
Permanent differences	(23)	1.1 %	15	24.2 %	(8)	0.4 %
CARES Act (a)	(360)	17.4 %	—	—	(360)	17.9 %
Lapse of federal statute of limitations	(39)	1.8 %	—	—	(39)	1.9 %
Change in tax law	—	—	21	33.9 %	21	(1.0)%
Tax effects of income associated with noncontrolling interests	(66)	3.2 %	(8)	(12.9)%	(74)	3.7 %
Other, net	7	(0.3)%	1	1.6 %	8	(0.4)%
Income tax expense (benefit)	$ (949)	45.8 %	$ 46	74.2 %	$ (903)	44.9 %

See notes on page 114.

	U.S.		International		Total	
	Amount	Percent	Amount	Percent	Amount	Percent
Year ended December 31, 2019						
Income tax expense at statutory rates	$ 524	21.0 %	$ 147	14.8 %	$ 671	19.2 %
U.S. state and Canadian provincial tax expense, net of federal income tax effect	16	0.7 %	88	8.9 %	104	3.0 %
Permanent differences	(36)	(1.5)%	10	1.0 %	(26)	(0.7)%
GILTI tax (b)	115	4.6 %	—	—	115	3.3 %
Foreign tax credits	(95)	(3.8)%	—	—	(95)	(2.7)%
Repatriation withholding tax	45	1.8 %	—	—	45	1.3 %
Tax effects of income associated with noncontrolling interests	(77)	(3.1)%	2	0.2 %	(75)	(2.2)%
Other, net	(36)	(1.4)%	(1)	(0.1)%	(37)	(1.1)%
Income tax expense	$ 456	18.3 %	$ 246	24.8 %	$ 702	20.1 %
Year ended December 31, 2018						
Income tax expense at statutory rates	$ 665	21.0 %	$ 163	15.3 %	$ 828	19.6 %
U.S. state and Canadian provincial tax expense, net of federal income tax effect	44	1.4 %	80	7.5 %	124	2.9 %
Permanent differences	(9)	(0.3)%	—	—	(9)	(0.2)%
GILTI tax (b)	67	2.1 %	—	—	67	1.6 %
Foreign tax credits	(50)	(1.6)%	—	—	(50)	(1.2)%
Effects of Tax Reform (b)	(12)	(0.4)%	—	—	(12)	(0.3)%
Tax effects of income associated with noncontrolling interests	(49)	(1.5)%	—	—	(49)	(1.2)%
Other, net	(23)	(0.7)%	3	0.3 %	(20)	(0.5)%
Income tax expense	$ 633	20.0 %	$ 246	23.1 %	$ 879	20.7 %

(a) See "*CARES Act*" on page 119 for a discussion of significant changes in tax law in the U.S that were enacted in 2020.
(b) Relates to the Tax Cuts and Jobs Act of 2017 (Tax Reform), which, among other provisions, resulted in a minimum tax on the income of international subsidiaries (the GILTI tax).

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VALERO ENERGY CORPORATION
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS (Continued)

Components of income tax expense (benefit) were as follows (in millions):

	U.S.	International	Total
Year ended December 31, 2020			
Current:			
Country	$ (1,033)	$ (34)	$ (1,067)
U.S. state / Canadian provincial	9	(3)	6
Total current	(1,024)	(37)	(1,061)
Deferred:			
Country	126	53	179
U.S. state / Canadian provincial	(51)	30	(21)
Total deferred	75	83	158
Income tax expense (benefit)	$ (949)	$ 46	$ (903)
Year ended December 31, 2019			
Current:			
Country	$ 145	$ 186	$ 331
U.S. state / Canadian provincial	37	100	137
Total current	182	286	468
Deferred:			
Country	290	(28)	262
U.S. state / Canadian provincial	(16)	(12)	(28)
Total deferred	274	(40)	234
Income tax expense	$ 456	$ 246	$ 702
Year ended December 31, 2018			
Current:			
Country	$ 432	$ 141	$ 573
U.S. state / Canadian provincial	37	66	103
Total current	469	207	676
Deferred:			
Country	145	25	170
U.S. state / Canadian provincial	19	14	33
Total deferred	164	39	203
Income tax expense	$ 633	$ 246	$ 879

Income Taxes Paid (Refunded)

Income taxes paid to (received from) U.S. and international taxing authorities were as follows (in millions):

	Year Ended December 31,		
	2020	2019	2018
U.S.	$ 130	$ (298) (a)	$ 1,016
International	73	182	345
Income taxes paid (refunded), net	$ 203	$ (116)	$ 1,361

(a) This amount includes a refund of $348 million, including interest, that we received related to the settlement of the combined audit of our U.S. federal income tax returns for 2010 and 2011. See "*Tax Returns Under Audit* – U.S. Federal" on page 119.

Deferred Income Tax Assets and Liabilities

The tax effects of significant temporary differences representing deferred income tax assets and liabilities were as follows (in millions):

	December 31,	
	2020	2019
Deferred income tax assets:		
Tax credit carryforwards	$ 681	$ 683
Net operating losses (NOLs)	678	582
Inventories	70	141
Compensation and employee benefit liabilities	199	213
Environmental liabilities	64	69
Other	128	156
Total deferred income tax assets	1,820	1,844
Valuation allowance	(1,223)	(1,200)
Net deferred income tax assets	597	644
Deferred income tax liabilities:		
Property, plant, and equipment	4,895	4,924
Deferred turnaround costs	302	331
Inventories	269	217
Investments	171	122
Other	235	153
Total deferred income tax liabilities	5,872	5,747
Net deferred income tax liabilities	$ 5,275	$ 5,103

We had the following income tax credit and loss carryforwards as of December 31, 2020 (in millions):

	Amount	Expiration
U.S. state income tax credits (gross amount)	$ 86	2021 through 2033
U.S. state income tax credits (gross amount)	17	Unlimited
U.S. foreign tax credits	598	2027
U.S. state income tax NOLs (gross amount)	12,333	2021 through 2040
U.S. state income tax NOLs (gross amount)	34	Unlimited
International NOLs (gross amount)	20	2021 through 2030
International NOLs (gross amount)	120	Unlimited

We have recorded a valuation allowance as of December 31, 2020 and 2019 due to uncertainties related to our ability to utilize some of our deferred income tax assets associated with our U.S. foreign tax credits, certain U.S. state income tax credits, and certain NOLs before they expire. The valuation allowance is based on our estimates of future taxable income in the various jurisdictions in which we operate and the period over which deferred income tax assets will be recoverable. The valuation allowance increased by $23 million in 2020 primarily due to an increase in U.S. state income tax NOLs.

As of December 31, 2020, the cumulative undistributed earnings of our international subsidiaries that is considered permanently reinvested in those countries were approximately $3.2 billion. We are able to distribute cash via a dividend from our international subsidiaries with a full dividend received deduction in the U.S. However, there may be a cost to repatriate the undistributed earnings of certain of our international subsidiaries to us, including, but not limited to, withholding taxes imposed by certain international jurisdictions and U.S. state income taxes. It is not practicable to estimate the amount of additional tax that would be payable on those earnings, if distributed.

Unrecognized Tax Benefits

Change in Unrecognized Tax Benefits

The following is a reconciliation of the change in unrecognized tax benefits, excluding related interest and penalties, (in millions):

	Year Ended December 31,		
	2020	2019	2018
Balance as of beginning of year	$ 897	$ 970	$ 941
Additions for tax positions related to the current year	5	19	23
Additions for tax positions related to prior years	9	30	28
Reductions for tax positions related to prior years	(20)	(101)	(19)
Reductions for tax positions related to the lapse of applicable statute of limitations	(44)	(14)	(1)
Settlements	—	(7)	(2)
Balance as of end of year	$ 847	$ 897	$ 970

Liability for Unrecognized Tax Benefits

The following is a reconciliation of unrecognized tax benefits to our liability for unrecognized tax benefits presented in our balance sheets (in millions).

	December 31,	
	2020	2019
Unrecognized tax benefits	$ 847	$ 897
Tax refund claims not yet filed but that we intend to file	(26)	(29)
Interest and penalties	110	100
Liability for unrecognized tax benefits presented in our balance sheets	$ 931	$ 968

Our liability for unrecognized tax benefits is reflected in the following balance sheet line items (in millions):

	December 31,	
	2020	2019
Income taxes payable	$ 59	$ —
Other long-term liabilities	859	954
Deferred tax liabilities	13	14
Liability for unrecognized tax benefits presented in our balance sheets	$ 931	$ 968

As of December 31, 2020, our liability for unrecognized tax benefits included $525 million of refund claims associated with taxes paid on incentive payments received from the U.S. federal government for blending biofuels into refined petroleum products. We recorded a tax refund receivable of $525 million in connection with our refund claims, but we also recorded a liability for unrecognized tax benefits of $525 million due to the complexity of this matter and uncertainties with respect to sustaining these refund claims. Therefore, our financial position, results of operations, and liquidity will not be negatively impacted if we are unsuccessful in sustaining these refund claims.

Other Disclosures

As of December 31, 2020 and 2019, there was $729 million and $762 million, respectively, of unrecognized tax benefits that if recognized would reduce our annual effective tax rate.

Interest and penalties incurred during the years ended December 31, 2020, 2019, and 2018 were immaterial.

During the next 12 months, it is reasonably possible that our tax audit resolutions could reduce our liability for unrecognized tax benefits either because our tax positions are sustained upon audit or because we agree to their disallowance. We do not expect these reductions to have a material impact on our financial statements because such reductions would not materially affect our annual effective tax rate.

Tax Returns Under Audit

U.S. Federal

In 2019, we settled the combined audit related to our U.S. federal income tax returns for 2010 and 2011 and received a refund of $348 million, including interest. We did not have a significant change to our liability for unrecognized tax benefits upon settlement of the audit. As of December 31, 2020, our U.S. federal income tax returns for 2012 through 2015, 2017, and 2018 were under audit by the Internal Revenue Service (IRS). The IRS has proposed adjustments for certain open years and we are currently contesting the proposed adjustments with the Office of Appeals of the IRS. We are continuing to work with the IRS to resolve these matters and we believe that they will be resolved for amounts consistent with our recorded amounts of unrecognized tax benefits associated with these matters.

We have amended our U.S federal income tax returns for 2005 through 2011 to exclude from taxable income incentive payments received from the U.S. federal government for blending biofuels into refined petroleum products, and we have claimed $525 million in refunds. The 2005 through 2009 amended return refund claims have been disallowed by the IRS and we are currently evaluating our options to contest the disallowance of these adjustments. As noted above in the discussion of our liability for unrecognized tax benefits, an ultimate disallowance of these refund claims would not negatively impact our financial position, results of operations, and liquidity.

U.S. State

As of December 31, 2020, our California tax returns for 2004 through 2007 and 2011 through 2016 were under audit by the state of California. We do not expect the ultimate disposition of these audits will result in a material change to our financial position, results of operations, or liquidity. We believe these audits will be resolved for amounts consistent with our recorded amounts for unrecognized tax benefits associated with these audits.

International

As of December 31, 2020, our Canadian subsidiary's federal tax returns for 2013 through 2016 were under audit by the Canada Revenue Agency and our Quebec provincial tax returns for 2013 through 2016 were under audit by Revenue Quebec. We are also protesting proposed adjustments related to our Peruvian subsidiary's federal tax returns for 2016 and 2018, which were under audit by La Superintendencia Nacional de Aduanas y de Administración Tributaria. Additionally, our U.K. subsidiary's tax returns for 2017 and 2018 were opened for inquiry by Her Majesty's Revenue and Customs. We do not expect the ultimate disposition of these audits or inquiries will result in a material change to our financial position, results of operations, or liquidity.

CARES Act

On March 27, 2020, the Coronavirus Aid, Relief and Economic Security (CARES) Act was enacted, which resulted in significant changes to the U.S. Internal Revenue Code of 1986, as amended. The most significant changes affecting us were as follows:

- Modification of the limitations previously set by Tax Reform by providing that tax NOLs arising in a tax year beginning in 2018, 2019, or 2020 can be carried back five years. This provision allows the taxpayer to recover taxes previously paid at a 35 percent federal income tax rate during

tax years prior to 2018. In addition, the CARES Act removed the taxable income limitation to allow a tax NOL to fully offset taxable income for tax years beginning before January 1, 2021.

- Increased the deductibility of interest expense from 30 percent to 50 percent of adjusted taxable income for 2019 and 2020. Also, a taxpayer can elect to use its 2019 adjusted taxable income in 2020 to determine the deductible amount of interest expense in that year.

Our income tax benefit for the year ended December 31, 2020 included a tax benefit of $360 million attributable to the tax NOL carryback provided under the CARES Act for our 2020 tax NOL to our 2015 tax year in which we paid federal income taxes at a 35 percent tax rate. The variation in the customary relationship of our effective tax rate to the U.S. federal statutory rate for the year ended December 31, 2020 was primarily due to this income tax benefit.